

CITATION: Cadillac Fairview v. Jamesway Construction, 2011 ONSC 2633
COURT FILE NO.: C-7-11
DATE: 2011-05-02

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

The Cadillac Fairview Corporation Limited

Applicant

– and –

Jamesway Construction Ltd. and Dominion
of Canada

Respondent

)
)
) Louise A. James, for the Applicant
)
)
)

) Heather Main, for the Respondent Jamesway
) Construction
)
)

)
)
) **HEARD:** April 20, 2011

THE HONOURABLE MR. JUSTICE P. B. JAMBLY

[1] This is an application brought by the owner of a shopping mall for an order that the insurer of a corporation with which it had entered into a contract to clear the accumulation of snow and ice from the mall assume its defense in action brought by a woman for damages as a result of her slipping on ice at the mall.

The Facts

[2] On January 10, 2004, Randa Khbeis (“Randa” or the “Plaintiff”) slipped on ice on the sidewalk outside of the entrance to Fairview Park Mall (“Fairview”) in the City of Kitchener. Fairview is owned by Cadillac Fairview Corporation Limited (“Cadillac Fairview”). At the time of plaintiff’s fall there was a contract in existence between Cadillac Fairview and Jamesway

Construction Ltd. ("Jamesway") which required Jamesway to keep the mall clear of snow and ice. Randa commenced an action against Cadillac Fairview and Jamesway on December 2, 2005 for her damages resulting from her fall. Her husband and her two children joined in the action to claim damages for the loss of her care guidance and companionship resulting from her injuries suffered in the fall. Cadillac Fairview and Jamesway have each filed statements of defense and cross-claims against each other for contribution and indemnity for any damages that may be assessed against them. Each has separate counsel. There have been examinations for discovery. The case is on a trial list for the sittings commencing November 21, 2011 in the City of Kitchener. Cadillac Fairview has brought this application against Jamesway and Dominion. It sought in the application an order that Cadillac Fairview and Jamesway "indemnify and assume the defense of the applicant in the main action". In its factum and in oral argument on the application it sought only "a declaration that the respondents must assume the defense of the applicant in the main action".

[3] In the amended Statement of Claim the Plaintiff alleges the following:

5. On or about the 10th day of January 2004, the Plaintiff, Randa Khbeis, slipped and fell on ice and/or snow sustaining serious and permanent personal injuries and damages.

6. The Plaintiff pleads that the Defendants, upon whom rested the duty of maintaining the material area in a safe condition for the passage of pedestrian traffic, acted jointly and severally to wrongfully permit the presence of ice and snow on the premises, and in so doing permitted same to constitute an unusual danger and a trap, and were in breach of their duty to the plaintiff.

7. The Plaintiff's plead and rely upon the provisions of the *Occupier's Liability Act*, R.S.O. 1990 c. O.2.

8. The Plaintiff further states that the said condition was caused by the negligence, gross negligence and/or a breach of the *Occupier's Liability Act*, of

the Defendant's or their employees, servants and/or agents, for whom they are in law responsible, in that:

- (a) they knowing permitted a dangerous condition to exist in the material area;
- (b) they failed to inspect the material area for the existence of a dangerous condition, properly or not at all;
- (c) they failed to have in operation at the time of the accident, and immediately before, a proper and efficient, or any system whereby the security personnel and staff responsible for property maintenance, reported to them the existence of the dangerous condition of the material area;
- (d) they knew or ought to have known that the material area on the occasion in question was unsafe for the passage of pedestrian traffic and constituted an unusual danger to the members of the public and, in particular, to the Plaintiff, and
- (e) they failed to provide an adequate, or any, system of inspection and maintenance in the material area, including snow removal, sanding and salting.

[4] The plaintiff did not allege in the statement of claim where she fell. From the way in which the application was argued and some of the material filed it appears to be common ground that she fell on the sidewalk outside of an entrance to the mall. Jamesway is insured by Dominion of Canada ("Dominion"). Dominion retained Crawford Adjusters ("Crawford") to represent it. John Croth of Crawford in a letter to Dominion dated May 25, 2004 stated that he interviewed the plaintiff on February 23, 2004. She said that she had come to the mall presumably in a motor vehicle, had entered the mall and had done some shopping. She left the mall from the same doors that she had entered. She fell on ice on the sidewalk outside of the doors where she exited. The parking lot was clear. There was no sand or salt on the sidewalk where she fell.

[5] Jamesway and Dominion filed an affidavit from Eric Brueckner sworn February 11, 2011 to which is attached a statement that he gave dated July 16, 2005. He states that on January 10, 2004 he came across the plaintiff lying on the sidewalk outside of an entrance to Fairview surrounded by five or six people. He stated the following:

I did not see her fall but I did notice that there was a patch of ice underneath her which was approximately 1.5 x 2' in size. I did not notice any salt or sand on the ice. I did observe that there was a bit of an overhang from the roof and it looked as if water could have dripped down and pooled on the spot where she fell.

[6] The contract of insurance between Jamesway and Cadillac Fairview contained the following clauses:

5. Release and Indemnity

The Contractor releases the owner, the owner's of the title (freeholder leasehold) of the Shopping Centre and any mortgage or other entity that provides funding for all of or any part of the Shopping Centre and the Merchant's Association and their respective officers, employees and agents (all of which are referred to collectively as the Releasees) from every claim which the Contractor might have or acquire in connection with the work being performed by it at the Shopping Centre, including without limitation, any claims arising from personal injury or damage, loss or theft to property regardless of how it arises or is caused and the Contractor indemnifies the Releasees from and against every loss, cost or expense arising from or connected with the Contractors carrying out the Work at the Shopping Centre, including without limitation, all claims arising from personal injury or damage, loss or theft of property regardless of how it arises or is caused.

15. Contractor's Insurance

Before commencing the Work, the Contractor shall 1) obtain insurance coverage which a prudent contractor would maintain, and 2) without limited the general nature of the previous requirement, provide to the Owner any evidence which the Owner requires that the Contractor maintains at least the following insurance, all endorsed to require the giving of thirty (30) days prior written notice by registered mail to the Owner of any cancellation or material change:

- a) Comprehensive General Liability with inclusive limits of two million dollars (\$2,000,000) in the joint names of the Contractor and the owner. This insurance is to include contractual liability, non-

owned automobile liability, owners and contractors protective insurance, a severability of interests clause and a cross liability clause. Such insurance shall be primary and not call into contribution any other insurance available to the owner.

Jamesway obtained a Contract of General Liability Insurance (“CGL”) which insured itself. It did not obtain a CGL in the joint names of itself and Cadillac Fairview as required by clause 15(a) of the contract between it and Cadillac Fairview.

[7] The contract expresses the scope of the work expected of Jamesway as follows:

Scope of Work

The contractor will supply all weather surveillance, labour, equipment and supplies necessary to keep all areas of the Shopping Centre free from any accumulation of snow and ice.

The Contractor in fulfillment of these shall:

- a) Clear by plowing any snow fall, or accumulation of snow falls of or in excess of 2.5 cm, to the bare pavements.
- b) Remove to designated pile areas, or from the site, all plowed snow, in accordance with provision (g) below, and appendix 1 to this agreement;
- c) Use salt only after each plowing, as required, to ensure melt-down of residual snow and prevent further accumulations;
- d) When snow commences, all sidewalks, entrances and loading docks are to be *calcium chloride* before accumulation, **Calcium chloride is to be used on all entrances (approximately 15’ on either side of the entrance, this includes The Bay, Sears, Wal-Mart)** all other sections salt may be used.
- e) Use salt only at all other times required, or perform any such other measures which may be required to ensure maintenance of clear, hazard free conditions and avoidance of any further accumulation of snow or ice;
- f) Initiate and provide all such services on a timely basis, taking additional direction in this regard from the General Manager of the Shopping Centre, or his/her delegate; in this respect, all fire routes, entrances, roadways, loading dock areas, sidewalks and aisles have priority, and are to be services as soon after the onset of snow or ice conditions as is practical, and

service to all areas is to be completed by 9:00 a.m. of the morning following the onset of the conditions in question.

[8] Terry Grant was the operations manager for Cadillac Fairview. Cadillac Fairview produced him for examination for discovery on May 29, 2007. He testified as follows:

32. Q. Now the, did the security staff play any role with respect to inspection of the premises for the purposes of snow and ice or slippery areas etcetera?

A. Yes

33. Q. Okay. And what specifically was their role?

A. Well when they did their, made their inspections or did their parking lot patrols that they, if the area was bad and needed a call in to whoever was doing our snow contract at that time, they'd make the call to them or if, you know, near entrance ways or anything like that, if they seen an area that needed to be addressed they would address it themselves or call an Operations staff member to help out.

34. Q. And Operations staff members means the maintenance staff?

A. The Maintenance staff, yeah.

35. Q. Okay. And again, you're not aware of who was working that day but you can search your records and provide that information?

A. Yeah.

...

106. Q. Okay. And with respect to – all right. Back it up a minute. Can you give a rough overview for those, this is the winter of 2003 -2004, as to how you would interact with the snow clearing body in general? How would the, you in your world would interact with them, and individuals on your behalf?

A. Myself, like the contract states it's up to the contractor to do its daily patrols and weather monitoring to ensure the property is safe for daily customers arriving to the property. My role when I came in, I'd do my tour and if I see anything that's been missed or needs to be addressed I would make the call or get one of my staff to call to get the contractor out there to fix the area that needs to be done, or if everything's fine it's fine.

Q. So as you said initially, either your staff, the Security or the Maintenance individuals, if someone noticed something they would then say it's your subordinates, they would notify you and then you would contact Terra-Tec?

A. No. They could, they would call as well. We all had a call sheet. At any time of the day if a call needed to be made we made the call.

...

133. Ms. Main: Can I just ask, when you say that you're not aware of any problems or complaints coming from contactors, what about problems with the contractors? You didn't have any complaints about them either?

A. No. If you had to call them to get them in for something they came in. Right?

Ms. Main: They came in?

A. Yeah.

The Law

[9] Occupiers Liability Act

Occupier's duty

3.--(1) An occupier of premises owes a duty to take such care as in all the circumstances of the case is reasonable to see that persons entering on the premises, and the property brought on the premises by those persons are reasonably safe while on the premises.

Idem

(2) The duty of care provided for in subsection (1) applies whether the danger is caused by the condition of the premises or by an activity carried on the premises.

Idem

(3) The duty of care provided for in subsection (1) applies except in so far as the occupier of premises is free to and does restrict, modify or exclude the occupier's duty.

R.S.O. 1990, c. O.2, s. 3.

Case Law

[10] In *Nichols v. American Home Assurance Co.* [1990] 1S.C.R. 801 Nichols was a lawyer.

The Bank Montréal sued him on an allegation of fraud. The insurer of Nichols declined to

defend him and advised that it would not indemnify him because his policy of insurance did not cover him for fraud. The Bank discontinued its action against Nichols. The court awarded Nichols party and party costs. Nichols brought an action against the insurer in which he sought a declaration that the insurer was obliged to defend him and the balance of his costs. The Supreme Court of Canada in the judgment of Justice McLachlan (as she then was) held that there is no obligation on the insurer to defend Nichols or to pay his costs. Justice McLachlan set out some general principles for the construction of insurance contracts. She stated the following:

16 Thus far, I have proceeded only by reference to the actual wording of the policy. However, general principles relating to the construction of insurance contracts support the conclusion that the duty to defend arises only where the pleadings raise claims which would be payable under the agreement to indemnify in the insurance contract. Courts have frequently stated that "[t]he pleadings govern the duty to defend": *Bacon v. McBride* (1984), 6 D.L.R. (4th) 96 (B.C.S.C.), at p. 99. Where it is clear from the pleadings that the suit falls outside of the coverage of the policy by reason of an exclusion clause, the duty to defend has been held not to arise: *Opron Maritimes Construction Ltd. v. Canadian Indemnity Co.* (1986), 19 C.C.L.I. 168 (N.B.C.A.), leave to appeal refused by this Court, [1987] 1 S.C.R. xi.

17 At the same time, it is not necessary to prove that the obligation to indemnify will in fact arise in order to trigger the duty to defend. The mere possibility that a claim within the policy may succeed suffices. In this sense, as noted earlier, the duty to defend is broader than the duty to indemnify. *O'Sullivan J.A.* wrote in *Prudential Life Insurance Co. v. Manitoba Public Insurance Corp.* (1976), 67 D.L.R. (3d) 521 (Man. C.A.), at p. 524:

Furthermore, the duty to indemnify against the costs of an action and to defend does not depend on the judgment obtained in the action. The existence of the duty to defend depends on the nature of the claim made, not on the judgment that results from the claim. The duty to defend is normally much broader than the duty to indemnify against a judgment. [Emphasis added.]

In that case it was unclear whether the insurer might be liable to indemnify under the policy, so the duty to defend was held to apply. In the court's view it would have been unjust for the insurers to be able to assert that "the claim is probably groundless, or will probably end up falling outside of the indemnity coverage. Since we have no proof that we owe an indemnity in this case, we take the position that we owe no duty to defend."

18 Other Canadian authority overwhelmingly supports the view that normally the duty to defend arises only with respect to claims which, if proven, would fall within the scope of coverage provided by the policy: see *Dobish v. Garies* (1985), 15 C.C.L.I. 69 (Alta. Q.B.); *Thames Steel Construction Ltd. v. Northern Assurance Co.*, [1989] I.L.R. 1-2399 (Ont. C.A.); *Vancouver General Hospital v. Scottish & York Insurance Co.* (1987), 15 B.C.L.R. (2d) 178 (B.C.S.C.)

21 I conclude that considerations related to insurance law and practice, as well as the authorities, overwhelmingly support the view that the duty to defend should, unless the contract of insurance indicates otherwise, be confined to the defence of claims which may be argued to fall under the policy. That said, the widest latitude should be given to the allegations in the pleadings in determining whether they raise a claim within the policy.

[11] In *Non-Marine Underwriters v. Scalera* [2000] S.C.J. No. 26 a defendant was sued for sexual assault. The Supreme Court of Canada held that his homeowner's insurer was not required to defend him in the lawsuit because his policy of insurance did not cover intentional torts. If the lawsuit against him was successful the insurer would not be required to indemnify him. Justice Iacobucci in his judgment referred to the principle expressed by Justice McLachlan in *Nichols* that where the insurer may be required to indemnify its insured it will be required to defend him. With respect to the relevance of pleadings he stated the following:

80 The general rule regarding the role of the pleadings is well stated by Wallace J. in *Bacon v. McBride* (1984), 6 D.L.R. (4th) 96 (B.C.S.C.), at p. 99:

The pleadings govern the duty to defend -- not the insurer's view of the validity or nature of the claim or by the possible outcome of the litigation. If the claim alleges a state of facts which, if proven, would fall within the coverage of the policy the insurer is obliged to defend the suit regardless of the truth or falsity of such allegations.

81 This does not, however, mean that the parties to an insurance contract are to be bound by the plaintiff's choice of labels, and thus defenceless against inaccurate or manipulative pleadings. *Nichols* only held that, having determined the nature of the claim, an insured need not further prove that the claim would succeed. This is just common sense, since otherwise an insured would have to prove he is actually liable in order to get an insurer to defend a liability claim.

[12] In *Monenco Ltd. v. Commonwealth Insurance Co.* [2001] S.C.J. No. 50 Suncor had entered into a contract with an engineering company to construct an electrical system at a Suncor plant. There was a fire at the plant. The evidence was that a cause of the fire was electrical cables installed by Monenco pursuant to its contract with the engineering company. Suncor alleged that Monenco was in a relationship of proximity with Suncor that made it liable to Suncor. Monenco sought an order requiring its insurer to defend it under its CGL policy. This Supreme Court of Canada in the judgment of Justice Iacobucci held that the insurer could rely on an exclusionary clause in its contract of insurance with Monenco. Regarding the role all of pleadings and extrinsic evidence on a motion for an order requiring an insurer to defend its insured justice Iacobucci stated the following:

31 Where pleadings are not framed with sufficient precision to determine whether the claims are covered by a policy, the insurer's obligation to defend will be triggered where, on a reasonable reading of the pleadings, a claim within coverage can be inferred. This principle is congruent with the broader tenets underlying the construction of insurance contracts, namely the *contra proferentem* rule, and the principle that coverage provisions should be construed broadly, while exclusion clauses should receive a narrow interpretation. In *Opron Maritimes*, supra, the New Brunswick Court of Appeal conveyed these principles by stating at para. 15 that, "[a]ny doubt as to whether the pleadings bring the incident within the coverage of the policy ought to be resolved in favour of the insured". Moreover, in *Nichols*, McLachlin J. stated at p. 812:

I conclude that considerations related to insurance law and practice, as well as the authorities, overwhelmingly support the view that the duty to defend should, unless the contract of insurance indicates otherwise, be confined to the defence of claims which may be argued to fall under the policy. That said, the widest latitude should be given to the allegations in the pleadings in determining whether they raise a claim within the policy.

And:

37 It should be recalled that the question whether an insurer is bound to provide defence coverage in an action taken against the insured arises as a preliminary matter. Of course, after trial, it may turn out that there is no liability on the

insurer, and thus, no indemnity triggered. But that is not the issue when deciding the duty to defend. Consequently, we cannot advocate an approach that will cause the duty to defend application to become "a trial within a trial". In that connection, a court considering such an application may not look to "premature" evidence, that is, evidence which, if considered, would require findings to be made before trial that would affect the underlying litigation.

38 In the present case, I affirm Southin J.A.'s holding that the contract between Suncor and the joint venture, having been referred to in the Amended Statement of Claim, could be reviewed to determine the substance and true nature of Suncor's claims. In a similar vein, I agree with Southin J.A. that, because Suncor had pleaded that the joint venture had carried on business under the name "ABM-1978", this enabled the court to review the joint venture agreement as well.

39 In endorsing Southin J.A.'s rulings on this extrinsic evidence, I must emphasize that it was not considered for the purpose of examining the contentious points in issue in the underlying litigation between Suncor and the appellants. Reference to these documents did not require factual findings to be made that would impact this litigation which, in this particular case, had been settled by the time the duty to defend application was brought before the courts. A review of the extrinsic evidence simply illuminates the substance of the pleadings and as such, is consistent with the reasoning in Scalera, supra.

[13] The principles in the above case law were applied by Justice Hennessy in *RioCan Real Estate Trust v. Lombard General Insurance Co.* (2008), 91 O.R. (3d) 63. Rio operated to shopping malls. In two separate actions plaintiffs alleged that they suffered injuries as a result of slipping and falling on ice in the parking lots of the malls. Rio had a contract with Palmer Paving which obligated Palmer to maintain the parking lots. In the contract Palmer agreed to indemnify Rio from any claims against Rio arising from work that Palmer was required to perform by the contract. The contract required Palmer to obtain a CGL Insurance in which it named Rio as an insured. It did this by obtaining a CGL with Lombard. The plaintiffs made separate allegations of negligence against Rio which were not covered by Palmer's contract with Rio. They were also not covered by the CGL with Lombard. The "true nature" of the plaintiffs' claims were the allegations that they slipped and fell on ice in Rio's parking lots which Palmer

was required to maintain. Justice Hennessy made an order that Lombard provide a defense to Rio and the two actions. This was notwithstanding that some of the plaintiffs' allegations of negligence were against Rio alone which were not covered by the CGL with Lombard.

Analysis

[14] In the contract for snow removal Jamesway released Cadillac Fairview from every claim in connection with work being performed by it at Fairview including any claims arising from personal injury. The scope of work required of Jamesway under the contract included clearing snow and ice from both the parking lot and the sidewalks and applying salt to these areas. Terry Grant who was the building maintenance supervisor at Cadillac Fairview testified that the security staff of Cadillac Fairview if they saw an area that needed treatment would either contact Jamesway or address it themselves. The claim is against Jamesway and Cadillac Fairview. The plaintiff makes allegations in her statement of claim jointly against Jamesway and Cadillac Fairview of negligence. The plaintiff does not make separate allegations of negligence against either Cadillac Fairview or Jamesway. Conceivably a trial court could find Jamesway was negligent in not applying salt and sand to the area where the plaintiff fell with or without a call from Cadillac Fairview.

[15] The plaintiff alleges in paragraph 8(a) of her statement of claim that they fail to have a proper reporting system of dangerous conditions in the area where she fell. This is not covered by the snow removal contract between Jamesway and Cadillac Fairview. However the "true

nature" of the plaintiff's claim as it was in *Rio* is the allegation that she slipped and fell on ice on the sidewalk outside of the entrance to the mall. This is covered by the contract which places the obligation on Jamesway to keep the sidewalks of the mall free from ice.

[16] It was Jamesway's responsibility under the snow removal contract to keep the sidewalk clear and safe where the plaintiff fell. Jamesway agreed to indemnify Cadillac Fairview from every claim which Jamesway might acquire in connection with the work being performed by it at the Fairview Park Mall. A claim is being made against Jamesway in relation to work that it was required to perform under the snow removal contract. Cadillac Fairview is the occupier. It has the primary duty under the Occupiers Liability Act to keep the sidewalks safe where the plaintiff fell. It was Jamesway's duty under the snow removal contract to keep the sidewalks safe. Cadillac Fairview may be liable for failure to keep the sidewalk where the plaintiff fell clear of ice and hence in breach of its duty under the *Occupiers Liability Act* s. ... "to take such care as in all the circumstances of the case is reasonable to see that persons entering on the premises, ... are reasonably safe while on the premises."

[17] Cadillac Fairview had contracted with Jamesway to keep the sidewalk clear of ice. The Plaintiff claims against Jamesway and Cadillac Fairview. Jamesway has agreed to indemnify Cadillac Fairview for work that it contracted to do where the failure of Jamesway to do the work may result in Cadillac Fairview being liable. It is entirely possible, even likely, that a claim against Cadillac Fairview covered by the snow removal contract between it and Jamesway will succeed. This will mean that Jamesway will be required to indemnify Cadillac Fairview under section 5 of the contract. If Jamesway had obtained a CGL in the joint names of Jamesway and Cadillac Fairview as it contracted to do there would not be a difficulty. The insurer would be

required to provide Cadillac Fairview with a defense. It did not do so. Jamesway will now have to provide Cadillac Fairview with a defense without the benefit of being insured. Jamesway did obtain a CGL covering itself with Dominion. There is no privity of contract between Dominion and Cadillac Fairview. The application must succeed against Jamesway and fail against Dominion.

Result

[18] There will be an order that Jamesway must assume the defense of Cadillac Fairview in the action of the plaintiff against Jamesway and Cadillac Fairview. The application against Dominion is dismissed.

[19] If the parties cannot settle costs Cadillac Fairview may make submissions in writing within 10 days and Jamesway and Dominion may respond within 10 days of receiving the submissions of Cadillac Fairview.

P. B. Hambly J.

Released: May 2, 2011

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

The Cadillac Fairview Corporation Limited

Applicant

– and –

Jamesway Construction Ltd. and Dominion of Canada

Respondent

REASONS FOR JUDGMENT

P. B. Hambly J.

Released: May 2, 2011